TOBACCO RESEARCH BOARD

Versus

CROCO MOTORS (PVT) LTD

HIGH COURT OF ZIMBABWE
COMMERCIAL DIVISION
CHILIMBE & MUSHURE JJ
HARARE 22 July 2025 & 25 February 2026

Civil Appeal

S.R Pasvani - for appellant
R. Kadhani -for respondent

CHILIMBE J

BACKGROUND

[1] The appellant ("TRB") is an agro-entity established in terms of the Tobacco Research Act [*Chapter 18:21*]. The respondent ("Croco Motors"), is a company incorporated with limited liability in terms of the laws of Zimbabwe and trades, inter alia, in motor vehicles.

[2] On 25 October 2022, the parties concluded a contract titled "Standard Procurement of Goods Agreement." (hereinafter referred to as "the Procurement Agreement.") for the supply and delivery, by Croco Motors, of ten (10) motor vehicles. For reasons further outlined hereunder, the Procurement Contract ran aground.

[3] Croco Motors instituted a claim for specific performance in the Magistrates' Court on 12 March 2024 seeking payment in the sum of US$ 33,150.00 together with interest and costs of suit. The claimed amount being the outstanding purchase price for a Toyota Hilux Cab motor vehicle sold and delivered to TRB in terms of the Procurement Agreement.

[4] TRB defended the suit and filed a counter claim in two (2) parts. Firstly, that Croco Motors had breached the Procurement Agreement by effecting delivery outside the period prescribed in the contract. The delivery period was fixed at eight weeks from the date of

signature of the contract. In that regard, delivery ought to have been effected by 20 December 2022. The vehicles were only delivered on 24 May 2023, approximately five months later. TRB argued that this delay constituted a material breach of the Procurement Agreement.

[5] TRB based this first counterclaim on the clause 2.1 being the penalty clause of the Procurement Agreement. This provision allowed an amount equivalent to 0.5% of the contract price to be deducted for each week of delay, up to a maximum of 10% of the value of the delayed goods. Given that the total contract price was US$391,500.00, TRB argued that Croco Motors`s delay of over 20 weeks raised the permissible penalty deduction of 10%, to a maximum of US$39,150.00. Hence the counterclaim for US$6,000.00, representing the difference between the penalty amount allegedly due to it and the US$33,150.00 value of the motor vehicle.

[6] The second aspect of the counterclaim was an ancillary prayer that Croco Motors be directed to attend to the registration of the Toyota Hilux GD-6 vehicle within 30 days of the court order failing which the Messenger of Court be directed to do the needful.

[7] The counterclaims were disputed by Croco Motors. Whilst admitting a delay in delivery, Croco Motors raised the defence of *vis major*. It averred that between 8 and 12 April 2022, severe floods struck the area of Durban in South Africa where the manufacturing plant of Toyota South Africa, the originator of the vehicles, was located. Production at this facility was adversely impacted. This caused the inevitable delay in delivery. These circumstances constituted *vis major* as contemplated in the Procurement Agreement.

[8] In that respect, Croco Motors argued that the delay, being neither deliberate nor unreasonable, had to be regarded as excusable. Croco Motors accordingly denied that TRB was entitled to any deduction, penalty, or set-off. Croco Motors averred that, as a consequence of the flooding, the factory was compelled to cease operations from April to June 2022 to carry out remedial works.

[9] Croco Motors also averred that it had duly notified TRB of the anticipated delays as soon as it became aware of the impact of the flooding on its ability to perform. In essence, Croco

Motors maintained that the floods rendered it impossible to deliver the vehicles within the eight-week period stipulated by the parties.

[10] Croco Motors stated that TRB had, in any event, accepted delivery of the nine (9) motor vehicles notwithstanding the delay. And that it was only when Croco Motors demanded payment for the outstanding vehicle that TRB asserted an entitlement to liquidated damages. Finally, Croco Motors argued that the second part of the counterclaim praying for an order directing it to register the Toyota Hilux truck was incompetent. It lacked an alternative prayer for damages as required by s 14(1)(d) of the Magistrates Court Act [*Chapter 7:10*] ("the Magistrates Court Act").

[11] After trial, the court a *quo* found in favour of Croco Motors. The trial court held that Croco Motors had established the existence of justifiable casus fortuitus. The two-part counter claim was dismissed (although the order did not expressly specify so). TRB`s counter claim was described by the trial court as "*opportunistic and cunning*". Accordingly, the court a *quo* granted the following order:

> "In the result, it be and is hereby ordered, that the plaintiff's claim succeeds and the defendant's counterclaim is hereby dismissed. The defendant shall pay to the plaintiff:
>
> 1. The sum of USD 33,150.00 or its equivalent in Zimbabwean dollars at the prevailing interbank rate as at the date of payment;
> 2. Interest thereon *a tempore morae* from the date of service of the summons;
> 3. Costs of suit."

THE GROUNDS OF APPEAL

[12] Aggrieved by the decision, TRB noted the present appeal on the following grounds; -

1. The court *a quo* erred at law in holding that there was a supervening impossibility that prevented Croco Motors from timeous performance when the alleged *vis major* had occurred several months before the contract between the parties.

2. Alternatively, the court *a quo* erred at law in finding that the Durban floods were a *vis major* or *Force Majeure* that resulted in an excusable delay of performance of the contract when the effects of the floods were foreseeable, as they had occurred several months before the signing of the contract.

3. The court *a quo* erred at law in holding that appellant could not take delivery of the motor vehicles and elect to uphold liquidated damages in the same instance when the contract expressly provided appellant the right to do so.

4. Alternatively, the court *a quo* erred at law in finding that appellant had agreed to pay off the last motor vehicle when appellant did not, in terms of the Agreement, waive its right to claim and deduct liquidated damages.

EN PASSANT; - PREPARATION OF THE APPEAL RECORD

[13] In *Grolee Mining (Pvt) Ltd v Evergreen Construction* HH 226-25, we reminded litigants and legal practioners on the need for punctiliousness in the preparation of the appeal record. The cautionary must once again be raised given the anomalies in the record before us. We proceeded to hear the parties rather than delay conclusion of the matter to attend to rectification. I need not detail the infractions concerned but will refer to the remarks in *Grolee v Evergreen* to the following effect; -

> "[47] Secondly, the record of proceedings a quo and bundle placed before us breached the provisions of rule 4 of Order 31 of the Magistrates Court (Civil) Rules SI 11 of 2019 which prescribes as follows; -
>
> 4. Record of trial
>
> (1) The clerk of the court shall, as soon as reasonably possible after the date of noting an appeal; lodge with the Registrar of the High Court the original record together with four typed copies, which copies shall be certified as true and correct copies.
>
> (2) The copies of the record shall be—
>
> (*a*) clearly typed with double or one and a half linear spacing in black record ink and on one side of the paper only;
>
> (*b*) paginated from the first to the last page, whether the pages contain evidence or not, and at the top of each page containing evidence the name of the witness giving such evidence shall appear.

(3) Every tenth line on each page of the copies of the record shall be numbered in the left-hand margin.

(4) The evidence in the original record shall be paginated from the first to the last page.

(5) All records shall contain a complete and correct index of the evidence and of all documents and exhibits in the case, the nature of the exhibits being briefly stated in the index.

(6) All records shall be securely bound in stout covers disclosing—

(*a*) the names of the parties; and

(*b*) the court appealed from; and

(*c*) the names of the legal practitioners of the parties.

(7) Bulky records shall be divided into separate conveniently sized volumes numbered consecutively.

(8**) Merely formal documents shall be omitted from the records, and *no document shall be included more than once***.

(9) Subject to sub rule (10), **the clerk of the court, after consultation with the magistrate, shall omit from the record—**

(*a*) all documents which are not relevant to the appeal; and

(*b*) the evidence of any witness, or any part of such evidence, which is not relevant to the appeal.

(10) The magistrate may, on application by either party, order the clerk of court to include any document or evidence in the record.

[48] There was duplicitous presentation of documents. The contract founding the dispute-as an example- appears no less than four times. Receipts, correspondence, payment schedules and other documents were also duplicated. Some pleadings were juxtaposed in pagination sequence.

[49] Further, the consolidated appeal bundle contained a "dead index" which rendered the bulk of the bundle unnavigable. The Registrar is encouraged for future purposes, to engage parties and assist them compile bundles that comply with IECMS`s capabilities and r 48. This r 48 dovetails into r 4 of Order 32 on the need to streamline bundles placed before the court. See also *FBC Holdings Limited v Zimbabwe Nantong International (Pvt) Ltd & Anor* HH 369-24 and *CABS v Magodo* HH 34-22.)

[50] The entire purpose of raising this issue is to accentuate the need to capitalise on the ease and convenience intended and envisaged by the IECMS system. Further, a well-structured bundle enables the court and parties to navigate the

papers with ease and convenience. This in turn, supports the preparation, hearing and disposal of disputes. It also sustains the integrity required in the records of court proceedings. After all, our courts are courts of record."

THE ISSUES BEFORE THE COURT

[14] I now turn to the present matter. I recognise, in the first instance, that the main and counter-claim in the court a *quo* were contractual prayers for specific performance. It is an established principle of our law that a party claiming specific performance must first fulfil his own part of the contract or affirm a willingness or capacity to do so. MALABA DCJ (as he then was) held in *Savanhu v Marere NO & Ors* 2009 [1] ZLR 320 at 325 A-C that; -

> "The right to claim specific performance of a contract by the other party is premised on the principle that the appellant must first show that he has performed all his obligations under the contract or that he is ready, able and willing to perform his own side of the bargain. Wessels *The Law of Contract in South Africa* vol 11 para 3135 states that:
>
> 'The court will not decree specific performance where the plaintiff has himself broken the contract unless he can show that he has performed his part or is ready to do so, and therefore he cannot ask for specific performance unless he has either performed his part of the contract or unless he has been prevented from doing so by the defendant.' See also *Wolpert v Steenkamp* 1917 AD 493 at p 499."

[15] Accordingly, the question to raise in determining the appeal is; - did the Durban floods constitute *vis major* which released Croco Motors wholly or partially from its performance obligations under the Procurement Contract? If the floods fully exonerated Croco Motors then no sanction could arise from its delay in performance. The ancillary matter to determine being; -whether the damages claimed by TRB a *quo* were warranted. The correctness of the court a *quo*`s findings hinge on this aspect.

ARGUMENTS BEFORE THE COURT ON *VIS MAJOR*

[16] The material submissions revolved around the following arguments. Mr *Pasvani*-counsel for TRB- disputed that the Durban floods of April 2022 amounted to an unforeseeable event beyond the control of the parties. Clearly, according to counsel, the floods occurred six months before the contract was signed. By that time the event had already occurred. Thus, Croco Motors ought to have been aware of possible supply disruptions.

[17] Mr *Pasvani* further submitted that the evidence led in the court *a quo* demonstrated that Toyota Zimbabwe, had informed Croco Motors of the disruptions as early as May 2022. But despite this knowledge, Croco Motors failed to notify TRB within the 15-day period stipulated in the Procurement Agreement argued Mr *Pasvani*. In addition, counsel contended that in terms of clause 8.1.4 of the Procurement Agreement, Croco Motors had the option to procure the motor vehicles from alternative markets at its own cost in the event of delay. Croco Motors failed to exercise this option submitted Mr *Pasvani*.

[18] Mr *Kadhani*, for Croco Motors, argued in response, that the delay fell squarely within the ambit of *force majeure*. As such, TRB was not entitled to claim liquidated damages. He argued that once TRB had been notified of the impediment, clause 13.3.5 was triggered which released Croco Motors from further performance or damages under Procurement Agreement. According to Mr *Kadhani*, on a proper interpretation of the *force majeure* clause, the delay was excusable. This position, submitted counsel, was duly communicated to TRB by a letter dated 15 February 2023.

[19] Counsel emphasised that it had never been TRB 's case that the floods fell within Croco Motors's control. In support of this submission, he referred to the letter from Toyota Zimbabwe dated 4 May 2022, which notified Croco Motors of the occurrence and impact of the flooding. This communication confirmed the debilitating effect of the floods and remedial efforts to gradually restore functionality at Toyota South Africa plant.

[20] This prognosis, counsel argued, reasonably assured Croco Motors that, by the time the contract was concluded, Toyota South Africa would have returned to normal production. He contended that the delays arising from the flooding were not foreseeable and therefore could not reasonably have been anticipated by Croco Motors. Counsel took the point that significant delays only became apparent in February 2023. Only then did Croco Motors

become fully aware of the prolonged impact of the floods and promptly notified TRB. He concluded that it was only at this stage that the effects of the flooding crystallised into a *force majeure* event.

[21] Counsel submitted that Croco Motors also took all reasonable steps to mitigate the impact of the disaster. Croco Motors expressed its intention to procure the vehicles from an alternative market, yet no response whether in acceptance or refusal was forthcoming from TRB. Counsel further contended that delivery was effected on a staggered basis, as Croco Motors considered it impractical to await delivery of all units before supplying TRB. He argued that no prejudice was shown on the record, nor was any evidence of such prejudice placed before the court *a quo*.

[22] Mr *Kadhani* submitted that, in terms of the Procurement Agreement, a *vis major* event must have been notified within 15 days of its occurrence. He contended that Croco Motors complied with this requirement by notifying TRB once it became aware of the operative effects of the event in February 2023. Counsel argued that the 15-day period could not be reckoned from May 2022, as the contract had not yet come into existence at that time.

[23] It was his argument that the *force majeure* event was only triggered upon receipt of the follow-up communication from Toyota in February 2023. At that point, Croco Motors duly notified TRP and well-within the prescribed time frame. Accordingly, the event could not, for purposes of the Procurement Agreement, be deemed to have occurred in May 2022.

ANALYSIS OF THE ARGUMENTS ON VIS MAJOR

[24] Clause 13.3 of the Procurement Agreement dealt with the issue of *force majeure*. Clause 13.3.1 of thereof defined the concept as follows; -

> "For the purposes of this Contract, Force Majeure means an event beyond the control of the parties to the contract and not involving either party's fault or negligence **and not foreseeable."**

[25] Three issues arise from the above provision. The event must (i) be beyond the control of the parties (ii) not be attributable to a party`s contract and (iii) not be foreseeable. Indeed, these considerations are consistent with the principles governing treatment of *vis major*. *Vis*

major occurs when an unforeseen situation, beyond one' s control, arises and makes it impossible for a party to perform their contractual obligation.

[26] The rationale being that a party must remain burdened by the voluntarily assumed obligations under the contract. After all, such party`s right to insist on the fruits of the contract issue from the same party`s own prior compliance. In the same vein, it must be accepted that various adversities -especially vagaries of nature, providence and man can render it impossible for a party to perform. Logically, therefore, such party must be released-wholly or proportionally-from his obligations.

[27] Thus in clause 13.3.3, the contract required a party impacted by a *force majeure* to alert the other party of such predicament in writing within 15 days of the occurrence of such event. Compliance with this notification requirement is a condition precedent to reliance on the *force majeure* clause, and failure to provide such timely notice disentitles the affected party from invoking the protections afforded under the clause. See *Sibanda* v *Masanga* SC 90-24 at p 11, and *Legacy Hospitality Management Services Limited* v *African Sun Limited & Anor* SC 43-22 at p8.

[28] In *Firstel Cellular (Pvt) Ltd* v *Net-One Cellular (Pvt) Ltd* 2015 (1) ZLR 94 (S) at 101G-102A, the Supreme Court sets out guidelines which the court must give regard to in determining whether to exempt one from a contractual obligation due to *vis major*, stating that: -

> "It is trite that the courts will be astute not to exonerate a party from performing its obligations under a contract that it has voluntarily entered into at arm's length. Thus, the suspension of a contractual obligation by dint of *vis major* or *casus fortuitus* can only be allowed in very compelling circumstances. The courts are enjoined to consider the nature of the contract, the relationship between the parties, the circumstances of the case and the nature of the alleged impossibility. See *Watergate (Pvt) Ltd* v *Commercial Bank of Zimbabwe* 2006 (1) ZLR 9 (S) at 14B-F. In particular, it must be shown that the impossibility is objective and absolute in contradistinction to one that is merely subjective or relative."

[29] In addition, the court in *Beitbridge-Bulawayo Railway (Pvt) Ltd* v *Commercial Union Insurance Co of Zimbabwe Ltd* 2008 (1) ZLR 207 (S) at 208 B-C, it was held;

> "that the general rule is that if, as a result of *vis major* or other supervening physical or legal act, performance of a contract has become impossible through no fault of the debtor, the obligations under the contract are extinguished. There are, however, exceptions. If it is clear that the parties contemplated the situation which gave rise to the impossibility, then the general rule would not apply."

[30] It is thus clear from the authorities that the burden of proving *vis major* is neither light nor simple. Invariably, an intricate assessment of dates, times, places as well as cause and effect become necessary. The question whether *vis major* is absolute or proportional is key. And in many cases and the present one, attendant conditionalities pre-requisite to the definition, proof and exercise of rights in the face of impossibility of performance are fixed in the contract.

[31] I return to the questions earlier posed. Did the Durban floods constitute an event within the anticipation of the parties? This is the primary matter to address. And in doing so, a distinction must be made between the Durban floods as a natural disaster whose effects were wide-ranging, and the same floods as an event of *vis major*, within the definition and prescription of the contract.

[32] In the court a *quo*, evidence was laid regarding (a) the date when parties contracted (b) the terms of such contract (c) especially its provisions regarding *vis major*, and (d) the occurrence or timing of the Durban floods relative to the conclusion of the contract. Insofar as the specific (and perhaps informed) impact of the Durban floods on the contract, the following point is pertinent. Produced in evidence was the Managing Director of Toyota Zimbabwe`s letter of 4 May 2022 to Croco Motors on severe disruptions to Toyota South Africa`s manufacturing plant. The advice was that; -

a. that the factory has shut down

b. that there will be no production at all from the period of April to June 2022

c. They estimate that in July 2022, they will resume production at 50% production capacity

d. In August 2022, the production capacity will increase by 75%, and thereafter, normal production is expected.

[33] It is thus indisputable that the natural disaster occurred well before 4 May 2022 and in particular, the execution of the Procurement Agreement in October 2022. Thus the floods constituting the alleged *vis major* event struck several months before the signing of the Procurement Agreement. How then does this factual position affect the interpretation of the *vis major* clause in the contract? Could it be rationally and supportably concluded, (as the court a *quo* found), that the effects of the floods were not foreseeable as at the time that the parties concluded the contract?

[34] Could it be properly concluded that this clear and prominent event, whose devastating effects were laid out by Toyota Zimbabwe, was unknown? Let alone unforeseeable? One which, even in the absence of the notification from Toyota Zimbabwe, ought in any event, to have been in the knowledge of Croco Motors? The court a *quo* found that the events suited the description of *vis major* as defined in the contract.

[35] That conclusion is unsupportable. The court a *quo* therefore grossly misdirected itself in the factual finding that the Durban floods constituted *vis major*. Such findings leave us at large to interfere with its judgment (see the famous passage in *B*arr*os and Another* v *Chimphonda* 1999 (1) ZLR 58(S) where at GUBBAY CJ stated at 62G- 63A that; -

> "The attack upon the determination of the learned judge that there were no special circumstances for preferring the second purchaser above the first — one which clearly involved the exercise of a judicial discretion — may only be interfered with on limited grounds. See Farmers`Co-operative Society (Reg.) v Berry 1912 AD 343 at 350. These grounds are firmly entrenched. It is not enough that the appellate court considers that if it had been in the position of the primary court, it would have taken a different course. It must appear that some error has been made in exercising the discretion. If the primary court acts upon a wrong principle, if it allows extraneous or irrelevant matters to guide or affect it, if it mistakes the facts, if it does not take into account relevant some consideration, then its determination should be reviewed and the appellate court may exercise its own discretion in substitution, provided always has the materials for so doing."

[36] Further, Croco Motors failed to issue timeous notice of the event as required by the clause 13.3 and did not comply with this obligation. It only communicated the delay in February 2023, long after the eight-week delivery period had expired in December 2022. This failure to provide timely notice further undermines Croco Motors's reliance on *force majeure*.

[37] The courts have consistently held that where notice is a condition precedent to invoking a contractual exemption clause, failure to give such notice disentitles the party from relying on it. See *Wendall Parson* v *Matipedza Karase and Anor* HH630-14.

[38] Croco Motors also argued that although the floods occurred in April 2022, the continuing effects thereof, which allegedly resurfaced in February 2023, constituted a fresh *force majeure* event. I do not accept that proposition. The impossibility envisaged by *vis major* must arise from a new, unforeseen event. The lingering commercial or logistical effects of a known prior event cannot transform into a new *force majeure*.

[39] It follows that Croco Motors cannot rely on the communication of February 2023 as the point of occurrence of the *vis major* event. The effects of the flooding were already communicated in May 2022, and Croco Motors cannot now seek to invoke the consequences of the floods long after the event had in fact taken place. It is therefore my finding that the court *a quo* erred at law in finding that the Durban floods were a *vis major* event that resulted in an excusable delay of performance of contract.

[40] Having determined that the Durban floods do not constitute a *vis major* event capable of rendering the delay excusable, it is necessary to proceed to a consideration of whether, in the circumstances, TRB is entitled to claim the liquidated damages provided for under the Procurement Agreement.This requires an examination of the contractual provisions governing such damages and Croco Motors's obligations, as well as the effect of the delay on TRB 's rights.

ARGUMENTS BEFORE THE COURT ON LIQUIDATED DAMAGES

[41] Mr *Pasvani* submitted that Clause 12.1 of the Procurement Agreement entitled TRB to deduct liquidated damages up to a maximum cap of 10%. He further argued that TRB had never waived its right to claim liquidated damages and remained fully entitled to do so. Counsel additionally contended that Clause 12.1 stipulated that the weekly deductions of 0.5% would accrue until delivery was completed. It was his submission that, by the time Croco Motors effected full delivery, the maximum cap had already been reached, as the entire consignment had been delivered late.

[42] In that regard, Mr *Pasvani* argued that the liquidated damages owed to TRB amounted to US$39,150.00, representing 10% of the total contract price of US$ 391,500.00. Consequently, TRB's contention before the court *a quo* and again before this Court was that it had overpaid Croco Motors by US$6,000.00, given that each vehicle was valued at US$33,150.00.

[43] In response, Mr *Kadhani*, argued that by accepting delivery of the vehicles beyond the stipulated eight-week delivery period, TRB had waived its right to claim liquidated damages. He further asserted that TRB only invoked its claim for liquidated damages when Croco Motors demanded payment for the final vehicle. Counsel for Croco Motors referred the Court to page 49 of the record, which contained an exchange between TRB 's witness and the court. The relevant portion reads:

> "Q Why did you not honour the undertaking to pay the last batch?
>
> A They did not register our vehicles in time"

[44] Mr *Kadhani* argued that this exchange captured the crux of the matter on the basis that TRB had undertaken to pay for the outstanding vehicle, and the only reason payment had not been made was because the vehicle had not yet been registered. He contended that TRB had already become entitled to the maximum cap of liquidated damages at the time of the delay, yet only raised the issue when Croco Motors sought payment thereby suggesting that TRB was seeking a pretext to deny liability.

[45] He further argued that TRB had been willing to take delivery of the vehicles despite delay. Accordingly, TRB was required to assert its right to damages at the moment the delay occurred, that is, upon the late delivery of each vehicle. Its failure to do so, while continuing to accept the staggered delivery of the consignment, amounted to an acceptance of the delay. He further argued that TRB had not suffered any prejudice owing to such delay and thus was not entitled to liquidated damages.

[46] In addressing the issue of the counterclaim, Mr *Kadhani* averred that no evidence had been led by TRB in the court a *quo* to substantiate the alleged overpayment of US$6 000.00.

Counsel referred the Court to page 47 of the record, where TRB 's witness conceded that he had no knowledge of such an overpayment:

> "Q Defendant alleges it overpaid by USD 6 000-00 how is it so?
>
> A I am not aware of that."

[47] Counsel accordingly argued that TRB failed to lead evidence justifying its claim to the US$6 000.00, and that it was necessary for proper substantiation of any quantum claimed. In the absence of such justification, he submitted that the relief sought by TRB was incompetent. In addition, he argued that the court *a quo* had no jurisdiction to make an order for specific performance without an alternative of payment of damages as per Section 14 (1) (d) of the Magistrates Court Act.

ANALYSIS OF THE ARGUMENTS ON LIQUIDATED DAMAGES

[48] I have already concluded that Croco Motors effected late delivery in breach of the Procurement Agreement. Clause 11 of the Procurement Agreement regulated the parties` options in the event of such breach in the form of delayed performance; -

> "DELAYS IN THE SUPPLIER'S PERFORMANCE
>
> 11.1. The supplier shall supply the goods as per the provisions of sub-clause 7.1 of this Agreement.
>
> 11.2. An unexcused delay by the supplier in the performance of its delivery obligations shall render the supplier liable to any or all of the following sanctions;
>
> (i) forfeiture of its performance security,
> (ii) **Imposition of liquidated damages, and/or**
> (iii) termination of the contract for default
>
> 11.3. If at any time during the process of discharging its obligations in terms of this Agreement, the supplier should encounter conditions impeding timely delivery of the goods, the supplier shall promptly notify the purchaser in writing of the fact of the delay, its likely duration and its cause(s).
>
> 11.4 As soon as practicable after receipt of the supplier's notice, the purchaser shall evaluate the situation and may at its discretion, extend the supplier's time for performance, in which case, the extension shall be ratified by the parties by a written instrument which shall part of this Procurement Agreement."

[49] The rights to liquidated damages extended by cause 11.2 (ii) were accessed via clause 12 of the Procurement Agreement which set the formula for computation of such liquidated damages as follows:

> "12 LIQUIDATED DAMAGES
> 12.1. If the supplier fails to deliver any of the goods within the periods specified In this Agreement, the purchaser shall, without prejudice to its remedies under this Agreement, deduct from the contract price, as liquidated damages a sum equivalent to 0,5% of the contract price of the delayed goods for each week of delay until actual delivery, up to a maximum deduction of ten percent (10%) of the delayed goods Contract Price.
>
> 12.2. Once the maximum is reached, the purchaser may consider termination of the Contract."

[50] By resorting to this clause, TRB`s conduct was described in negative terms as "*opportunistic and cunning"* by the trial court. That deprecation was quite unjustified. The Procurement Agreement extended options-and generous ones for that matter-to TRB as the purchaser. Clause 2.1 contained a number self-activating triggers. Breach in the form of delay entitled TRB "without prejudice to its remedies under this Agreement" to calculate and demand liquidated damages based on the fixed formula.

[51] It mattered not, that the court found such provision as onerous. As PATEL JA (as he then was) noted in the seminal decision of *Kundai Magodora & Ors v Care International Zimbabwe* 2014 (1) ZLR 397 (S), it is not for the court to agonise over what it may consider onerous contractual terms. As long as such provisions are legally valid, the court must uphold or enforce them.

[52] Croco Motors's delay spanned approximately twenty (20) weeks. TRB was thus contractually entitled to withhold or deduct 10% of the total contract price, amounting to US$39,150.00. The finding a *quo* that TRB had waived its right to claim liquidated damages was incorrect. The court was seized with a dispute which required interpretation of the contractual terms.

[53] Before the trial court was a written contract whose terms were most explicit. Apart from failing to recognise that TRB was not time-bound in its right to activate its claim for

damages, under clause 12 of the Procurement Agreement, the court a *quo* was improperly swayed by random exchange during cross-examination. The court a *quo* thus overlooked the effects of the non-variation clause 18.3.2 which provided that:

> "No provision of this Agreement. shall be deemed waived by course unless such waiver is made in writing signed by the parties hereto stating that it is intended specifically to modify this Agreement, nor shall any course of conduct, that is a branch of this Agreement, operate or be construed as a waiver of any subsequent breach of this Agreement, whether of a similar or dissimilar nature."

[54] There was no evidence before the trial court suggesting that the contract was amended to delete TRB`s rights to demand liquidated damages. Further, acceptance of delayed delivery did not, therefore, extinguish TRB 's right to invoke clause 12.1 of the Procurement Agreement. Clause 18.1.1. of the Procurement Agreement provides what I believe is instrumental in this case. It stated that;

> "No relaxation or indulgences that any party may afford the other or failure by the party to enforce its rights upon any form of breach of this Agreement. shall in any way prejudice the rights of the former nor shall such a party be estopped from exercising its rights by reason thereto."

[55] The effect of these provisions is that TRB was perfectly entitled to accept delivery to mitigate its own operational needs and yet still claim the contractual penalty for delay. The contract expressly allowed simultaneous acceptance of performance and enforcement of the penalty clause.

[56] In that regard, TRB could not be estopped from enforcing its rights or remedies after the occurrence of a breach. TRB was well within its right to claim liquidated damages when it did. The trial court`s interpretation of the contract on the point was therefore incorrect. It constituted a gross misdirection.TRB acted within its rights by setting off the amount due against Croco Motors's claim.

[57] I now turn to the quantum of liquidated damages. The starting point is to recognise the meaning, nature and effect of such damages. Essentially, parties can fix the damages payable in the event of certain performance failures. This is an immensely pragmatic facility. Its

benefits range from assisting parties to manage contractual risk as well as provision for impairment, to obviating discord and argument during disputes

[58] Coming to the quantum, that matter ought not detain us. Evidence was placed before the court showing how the damages were computed. Such evidence aligns with the summary set out above in [4] and [5] above. The arguments by Mr *Kadhani* (and evidence attempting to prove the contrary) cannot sustain. In the face of admitted delay, its inexcusability, as well period thereof, the exercise largely became desktop. I am satisfied that sufficient evidence was placed before the court a *quo* to justify the award of liquidated damages at US$6,000. The contrary conclusions by the trial court in the face of such evidence thus amounted to a misdirection.

[59] Lastly, I turn to Mr *Kadhani*`s attack on the competency of the relief sought under the counter claim. Counsel took the view that s 14(1)(d) of the Magistrates' Court Act rendered invalid, any claim for specific performance without the alternative of damages. TRB prayed, as the second part of its counterclaim, for an order directing Croco Motors to attend to the registration of the Toyota Hilux GD-6 Single-cab vehicle within 30 days of the court`s order. In the alternative, TRB prayed that the Messenger of Court be directed to do all that was necessary to facilitate such registration.

[60] I may state that the court a *quo* did not apply its mind to this aspect of the counterclaim. No ruling was made on it which in itself was a misdirection (see *Gwaradzimba N.O.* v *CJ Petron & Co. (Pty) Ltd.* 2016 (1) ZLR 28 (S); *PG Industries (Zimbabwe) Ltd* v *Bvekerwa & Ors* 2016 (2) ZLR 14 (S), and *Nzara & Ors* v *Kashumba & Ors* 2018 (1) ZLR 194 (S)).

[61] Beyond that, the vehicle belonged to TRB and registration formed part of its perfection of rights of ownership. For purposes of the contract between the parties, registration thus formed part of the transfer of an asset which is provided for under proviso (b) to s 14 (1) of the Magistrates' Court Act which prescribes that; -

> 14 When court has no jurisdiction
>
> (1) No court shall have jurisdiction in or cognisance of any action or suit wherein—
>
> (d) the specific performance of an act is sought without an alternative of payment of damages:

Provided that a court shall have jurisdiction to order—

(*b*) the delivery or transfer of property, movable or immovable, not exceeding such amount as may be prescribed in rules;

DISPOSITION

[62] In conclusion, Croco Motors's defence of *casus fortuitus* as defined by the parties in their contract was not sustainable on the evidence before the court *a quo*. In the absence of such defence, the failure by Croco Motors to deliver the vehicles concerned within the period specified in the Procurement Contract amounted to an inexcusable delay. Such breach warranted the imposition by TRB, of contractual performance penalties. Based on the agreed formula, Croco Motors becomes liable to pay TRB in terms of the counterclaim.

[63] In addition, the court a *quo* erred in its findings on *vis maj*or, waiver of liquidated damages, as well as in the failure to render a decision on the prayer for an order compelling registration. For these reasons, the decision of the trial court must be vacated. The appeal must succeed.

It is hereby ordered that; -

1. That the appeal succeeds with costs.
2. That the judgment of the court a *quo* be is hereby set aside and substituted with the following: -
    i. "The plaintiff's claim be and is hereby dismissed.
    ii. The defendant's counterclaim be and is hereby granted.
    iii. The plaintiff be and is hereby ordered to pay US$6,000.00 or its equivalent in Zimbabwean dollars at the prevailing interbank rate at the date of payment to the defendant.
    iv. The plaintiff be and is hereby ordered to attend to the registration of the Toyota Hilux GD-6 Single Cab within thirty (30) days of this order failing of which the messenger of court is empowered to attend to the signing of the relevant documents in place of the plaintiff.

v. The plaintiff to pay costs of suit."

Mutizwa Mhlanga & Nemaramba-appellant's Legal Practitioners
Atherstone & Cook-respondent's Legal Practitioners

CHILIMBE J_____

MUSHURE J_____I agree